October 16, 2026

Arohan Financial Services Limited: Rating reaffirmed; rating assigned for enhanced amount of bank lines

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator#
Long-term bank facilities – Fund based	5,903.07	5,953.07	[ICRA]A (Stable); reaffirmed/assigned for enhanced amount	RBI
Non-convertible debentures	225.00	225.00	[ICRA]A (Stable); reaffirmed	SEBI
Term Loan^	25.00	25.00	[ICRA]A (Stable); reaffirmed	RBI
Total	**6,153.07**	**6,203.07**		

**Instrument details are provided in Annexure I; ^Tier II*

The Securities and Exchange Board of India's (SEBI) grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SEBI Complaint Redress System (SCORES) and Online Dispute Resolution (ODR) shall not be available for activities and instruments that fall under the regulatory purview of financial sector regulators other than SEBI

Rationale

The rating factors in Arohan Financial Services Limited's established track record in microfinance, comfortable capitalisation profile and improving earnings profile. Operating since 2006, the company has been able to scale up its business over the years and reported assets under management (AUM) of Rs. 7,669 crore as on June 30, 2026, with a presence in 16 states and catering to around 20 lakh borrowers. The disbursements picked up and the company reported growth in AUM in H2 FY2026 and Q1 FY2027 post decline in H1 FY2026 owing to lending restrictions by the Reserve Bank of India (RBI), asset quality concerns in the industry and lending guardrails. Further, the company had a capital adequacy ratio (CAR) of ~26% as on June 30, 2026 while the gearing (managed) remained low at 2.8 times (2.9 times as on March 31, 2026). ICRA takes note of Arohan's plans to raise fresh equity capital via Initial public offering (IPO) in the near term, which shall further augment its capitalisation profile and support its near-to-medium term growth plans.

Further, the company's profitability improved in Q1 FY2027 with a profit after tax of ~Rs. 105 crore in Q1 FY2027 (Rs. 122 crore in FY2026), translating to a return of 4.8% on average managed assets (AMA) and 19% on average net worth (1.5% and 5.8%, respectively, in FY2026). The profitability profile was supported by higher NIM margins driven by shift in portfolio composition towards higher yielding MFI loans and also improved credit costs amid lower slippages and writeoffs. Moreover, ICRA takes note of the Credit Guarantee Fund for Micro Units (CGFMU) cover taken by the company for the portfolio generated post mid-June 2025.

The rating continues to consider the risks associated with the geographical concentration of Arohan's operations with the top 3 states comprising ~58% of the AUM as on June 30, 2026 (55% as on March 31, 2026). It also factors in the risks associated with the unsecured nature of microfinance loans, the marginal borrower profile, which is susceptible to income shocks, and the political and operational risks inherent in the microfinance business.

The Stable outlook considers Arohan's comfortable capital profile, which shall support portfolio growth and provide some buffer against volatility in asset quality, given the target business segment/borrower profile.

Key rating drivers and their description

Credit strengths

Established track record of operations – Arohan has an established track record of around two decades in microfinance with a presence in 16 states, catering to around 20 lakh borrowers as on June 30, 2026. Operating since 2006, the company has been able to scale up its business over the years and reported AUM of Rs. 7,669 crore as on June 30, 2026, up ~32%. Arohan's disbursements have been gradually increasing and stood at ~Rs. 1,730 crore in Q1 FY2027 (~Rs. 2,571 crore in Q4 FY2026; ~Rs. 1,197 crore in Q1 FY2026) with the focus remaining on microfinance loans. Apart from microfinance, the company offers loans to other non-banking financial companies and microenterprises, though the share of this segment remained modest at ~10% of AUM as on June 30, 2026. ICRA expects Arohan to continue scaling up its operations with continued focus on microfinance loans under the joint liability group lending model.

Comfortable capitalisation profile – The company remains well capitalised with a net worth of Rs. 2,263 crore and managed gearing of 2.8 times as on June 30, 2026 (Rs. 2,158 crore and 2.9 times, respectively, as on March 31, 2026). The CAR stood at ~26% as on June 30, 2026 (~28% as on March 31, 2026), well above the regulatory requirement of 15%. Further, Arohan plans to raise fresh equity capital through an IPO in the near term, which shall augment its capital base and support its stated growth plans over the near-to-medium term while maintaining a prudent capitalisation profile.

Credit challenges

Moderate, albeit improving, earnings profile – Arohan reported a PAT of Rs. 122 crore in FY2026, translating into a return on average managed assets (RoMA) of 1.5% and a return on average net worth (RoNW) of 5.8% compared to Rs. 110 crore, 1.4% and 5.6%, respectively, in FY2025. Profitability remained constrained by moderate operating efficiency and elevated credit costs amid industry-wide asset quality stress. The company undertook sizeable write-offs during FY2025-FY2026, resulting in high credit costs while gross non-performing advances (GNPAs) remained under control at 1.1% as on March 31, 2026 (0.9% as on June 30, 2026; 2.9% as on March 31, 2025). Nevertheless, the earnings profile has been gradually improving with Arohan reporting a PAT of ~Rs. 105 crore in Q1 FY2027, supported by higher yields and lower credit costs amid the gradual improvement in the collection efficiency. However, the company's operating efficiency remains moderate, partly owing to guarantee fee expenses. Arohan has been taking guarantee cover under the Credit Guarantee Fund for Micro Units (CGFMU) for the portfolio generated from June 2025 onwards. Although ICRA expects Arohan's earnings to improve in FY2027, enhanced operating efficiency and controlled credit costs remain key for a sustained rise in the same.

Geographical concentration risk – As on June 30, 2026, the company had a presence in 318 districts across 16 states through a network of 1,068 branches. However, the share of the microfinance portfolio[1] in West Bengal and Bihar remained high at 26% and 19%, respectively, as on June 30, 2026. The top 3 states comprised 58% of the AUM as on June 30, 2026 (55% as on March 31, 2026). ICRA notes that Arohan intends to gradually reduce its geographical concentration and has expanded its presence over the years in other states, namely Maharashtra, Haryana, Gujarat, Karnataka and Tamil Nadu. Going forward, the company's ability to improve its geographical diversification while scaling up its operations remains important from a credit perspective.

Political, communal and other risks in microfinance sector, given the marginal borrower profile – Microfinance remains susceptible to the risks associated with unsecured lending to marginal borrowers with limited ability to absorb income shocks and the rising borrower leverage levels owing to an increase in multiple lending in the areas of operations. Further, political and operational risks associated with microfinance may result in high volatility in the asset quality indicators. The microfinance industry is prone to socio-political, climatic and operational risks, which could negatively impact its operations. Arohan's ability

[1] *Microfinance portfolio excluding inorganic buyout and corporate term loan*

to onboard borrowers with a good credit history, recruit and retain employees as well as improve the geographical diversity of its operations would be key for managing high growth rates while maintaining its credit profile.

Liquidity position: Adequate

As on June 30, 2026, Arohan had a free cash and liquid balance of Rs. 598 crore with scheduled debt repayments of Rs. 2,082 crore and scheduled principal collections of Rs. 2,651 crore for the 6-month period ending December 2026. Factoring in the expected collections from advances, the liquidity profile is likely to remain adequate to meet the debt obligations in a timely manner. As per the asset-liability management profile as on June 30, 2026, the company did not have any cumulative mismatches across buckets. Moreover, it had ~Rs. 807 crore of sanctioned undrawn funding lines as on June 30, 2026, supporting its liquidity profile.

ICRA notes that Arohan also faces prepayment risk, given the possibility of debt acceleration upon the breach of covenants, including financial, operating and rating-linked covenants. Upon failure to meet the covenants, if the company is unable to get waivers from the lenders/investors or they do not provide it with adequate time to arrange for alternative funding to pay off the accelerated loans, the liquidity profile shall face pressure. The management has clarified that Arohan is not in breach of any of its covenants pertaining to its outstanding debt.

Rating sensitivities

Positive factors – An increase in the scale, while maintaining healthy profitability (RoMA of more than 3%), a prudent capitalisation profile and an improvement in the asset quality indicators on a sustained basis would have a positive impact on the rating.

Negative factors – Pressure on the rating could arise if the managed gearing exceeds 5.5 times on a continued basis or the asset quality deteriorates significantly and/or the profitability (RoMA of less than 2%) weakens on a sustained basis.

Analytical approach

Analytical approach	Comments
Applicable rating methodologies	Non-banking finance companies (NBFCs)
Parent/Group support	Not applicable
Consolidation/Standalone	Standalone

About the company

Arohan Financial Services Limited (Arohan) is a Kolkata-headquartered non-banking financial company – microfinance institution (NBFC-MFI). It was incorporated on September 27, 1991. Arohan is engaged in the business of microlending, mainly to women borrowers, and operates on the joint liability group (JLG) model. It was set up through the acquisition of an existing NBFC, ANG Resources Ltd, with the support of Bellwether Microfinance Fund. The company's name was changed to Arohan Financial Services Limited in March 2008. Arohan became a part of the Aavishkaar Group in September 2012. As on June 30, 2026, it was managing assets under management (AUM) of ~Rs. 7,669 crore.

Key financial indicators

Arohan Financial Services Limited	FY2025	FY2026	Q1 FY2027*
As per	Ind-AS	Ind-AS	Ind-AS
Total income	1,695	1,552	479
Profit after tax	110	122	105
Total managed assets (grossed up for provisions)	7,228	8,639	8,824
Return on average managed assets	1.4%	1.5%	4.8%
Managed gearing (times)	2.4	2.9	2.8
Gross stage 3 assets	2.9%	1.1%	0.9%

Arohan Financial Services Limited	FY2025	FY2026	Q1 FY2027*
As per	Ind-AS	Ind-AS	Ind-AS
CRAR	34.1%	27.6%	26.2%

Managed gearing = (On-book borrowings + Securitised/Assigned loan assets)/(Net worth)

*Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore; *Provisional*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

	Current (FY2027)					Chronology of rating history for the past 3 years					
				FY2027		FY2026		FY2025		FY2024	
Instrument	**Type**	**Amount rated (Rs. crore)**	**October 16, 2026**	**Date**	**Rating**	**Date**	**Rating**	**Date**	**Rating**	**Date**	**Rating**
Long-term bank facilities – Fund based	Long term	5,953.07	[ICRA]A (Stable)	Apr 01, 2026	[ICRA]A (Stable)	Apr 02, 2025	[ICRA]A (Stable)	May 20, 2024	[ICRA]A (Stable)	Aug 14, 2023	[ICRA]A- (Positive)
				Apr 30, 2026	[ICRA]A (Stable)	May 02, 2025	[ICRA]A (Stable)	Oct 25, 2024	[ICRA]A; Rating Watch with Negative Implications	Nov 09, 2023	[ICRA]A- (Positive)
				Jun 02, 2026	[ICRA]A (Stable)	Jun 03, 2025	[ICRA]A (Stable)	Nov 11, 2024	[ICRA]A; Rating Watch with Negative Implications	Jan 10, 2024	[ICRA]A (Stable)
				Jul 02, 2026	[ICRA]A (Stable)	Jul 02, 2025	[ICRA]A (Stable)	Jan 14, 2025	[ICRA]A (Stable)	-	-
				Aug 04, 2026	[ICRA]A (Stable)	Aug 04, 2025	[ICRA]A (Stable)	Feb 04, 2025	[ICRA]A (Stable)	-	-
				Sep 02, 2026	[ICRA]A (Stable)	Sep 02, 2025	[ICRA]A (Stable)	Mar 04, 2025	[ICRA]A (Stable)	-	-
				Sep 18, 2026	[ICRA]A (Stable)	Sep 30, 2025	[ICRA]A (Stable)	-	-	-	-
				Oct 06, 2026	[ICRA]A (Stable)	Nov 04, 2025	[ICRA]A (Stable)				
						Dec 02, 2025	[ICRA]A (Stable)				
						Jan 05, 2026	[ICRA]A (Stable)				
						Jan 13, 2026	[ICRA]A (Stable)				
						Feb 03, 2026	[ICRA]A (Stable)				
						Mar 03, 2026	[ICRA]A (Stable)				

	Current (FY2027)					Chronology of rating history for the past 3 years					
				FY2027		FY2026		FY2025		FY2024	
Instrument	Type	Amount rated (Rs. crore)	October 16, 2026	Date	Rating	Date	Rating	Date	Rating	Date	Rating
NCDs	Long term	200.00	[ICRA]A (Stable)	Apr 01, 2026	[ICRA]A (Stable)	Apr 02, 2025	[ICRA]A (Stable)	May 20, 2024	[ICRA]A (Stable)	Aug 14, 2023	[ICRA]A- (Positive)
				Apr 30, 2026	[ICRA]A (Stable)	May 02, 2025	[ICRA]A (Stable)	Oct 25, 2024	[ICRA]A; Rating Watch with Negative Implications	Nov 09, 2023	[ICRA]A- (Positive)
				Jun 02, 2026	[ICRA]A (Stable)	Jun 03, 2025	[ICRA]A (Stable)	Nov 11, 2024	[ICRA]A; Rating Watch with Negative Implications	Jan 10, 2024	[ICRA]A (Stable)
				Jul 02, 2026	[ICRA]A (Stable)	Jul 02, 2025	[ICRA]A (Stable)	Jan 14, 2025	[ICRA]A (Stable)	-	-
				Aug 04, 2026	[ICRA]A (Stable)	Aug 04, 2025	[ICRA]A (Stable)	Feb 04, 2025	[ICRA]A (Stable)	-	-
				Sep 02, 2026	[ICRA]A (Stable)	Sep 02, 2025	[ICRA]A (Stable)	Mar 04, 2025	[ICRA]A (Stable)	-	-
				Sep 18, 2026	[ICRA]A (Stable)	Sep 30, 2025	[ICRA]A (Stable)	-	-	-	-
				Oct 06, 2026	[ICRA]A (Stable)	Nov 04, 2025	[ICRA]A (Stable)				
						Dec 02, 2025	[ICRA]A (Stable)				
						Jan 05, 2026	[ICRA]A (Stable)				
						Jan 13, 2026	[ICRA]A (Stable)				
						Feb 03, 2026	[ICRA]A (Stable)				
						Mar 03, 2026	[ICRA]A (Stable)				
NCDs	Long term	25.00	[ICRA]A (Stable)	Apr 01, 2026	[ICRA]A (Stable)	Apr 02, 2025	[ICRA]A (Stable)	May 20, 2024	[ICRA]A (Stable)	Aug 14, 2023	[ICRA]A- (Positive)

	Current (FY2027)					Chronology of rating history for the past 3 years					
				FY2027		FY2026		FY2025		FY2024	
Instrument	Type	Amount rated (Rs. crore)	October 16, 2026	Date	Rating	Date	Rating	Date	Rating	Date	Rating
				Apr 30, 2026	[ICRA]A (Stable)	May 02, 2025	[ICRA]A (Stable)	Oct 25, 2024	[ICRA]A; Rating Watch with Negative Implications	Nov 9, 2023	[ICRA]A- (Positive)
				Jun 02, 2026	[ICRA]A (Stable)	Jun 03, 2025	[ICRA]A (Stable)	Nov 11, 2024	[ICRA]A; Rating Watch with Negative Implications	Jan 10, 2024	[ICRA]A (Stable)
				Jul 02, 2026	[ICRA]A (Stable)	Jul 02, 2025	[ICRA]A (Stable)	Jan 14, 2025	[ICRA]A (Stable)	-	-
				Aug 04, 2026	[ICRA]A (Stable)	Aug 04, 2025	[ICRA]A (Stable)	Feb 4, 2025	[ICRA]A (Stable); downgraded to [ICRA]D and simultaneously upgraded to [ICRA]A (Stable)	-	-
				Sep 02, 2026	[ICRA]A (Stable)	Sep 02, 2025	[ICRA]A (Stable)	Mar 4, 2025	[ICRA]A (Stable)	-	-
				Sep 18, 2026	[ICRA]A (Stable)	Sep 30, 2025	[ICRA]A (Stable)	-	-	-	-
				Oct 06, 2026	[ICRA]A (Stable)	Nov 04, 2025	[ICRA]A (Stable)				
						Dec 02, 2025	[ICRA]A (Stable)				
						Jan 05, 2026	[ICRA]A (Stable)				
						Jan 13, 2026	[ICRA]A (Stable)				
						Feb 03, 2026	[ICRA]A (Stable)				
						Mar 03, 2026	[ICRA]A (Stable)				
NCDs	Long term	-	-	-	-	-	-	May 20, 2024	[ICRA]A (Stable)	Aug 14, 2023	[ICRA]A- (Positive)
								Oct 25, 2024	[ICRA]A; Rating Watch with	Nov 9, 2023	[ICRA]A- (Positive)

	Current (FY2027)					Chronology of rating history for the past 3 years					
				FY2027		FY2026		FY2025		FY2024	
Instrument	Type	Amount rated (Rs. crore)	October 16, 2026	Date	Rating	Date	Rating	Date	Rating	Date	Rating
									Negative Implications		
								Nov 11, 2024	[ICRA]A; Rating Watch with Negative Implications	Jan 10, 2024	[ICRA]A (Stable)
								-	-	-	-
								-	-	-	-
								-	-	-	-
Subordinated debt	Long term	-	-	Apr 01, 2026	[ICRA]A (Stable)	Apr 02, 2025	[ICRA]A (Stable)	May 20, 2024	[ICRA]A (Stable)	Aug 14, 2023	[ICRA]A- (Positive)
				Apr 30, 2026	[ICRA]A (Stable)	May 02, 2025	[ICRA]A (Stable)	Oct 25, 2024	[ICRA]A; Rating Watch with Negative Implications	Nov 09, 2023	[ICRA]A- (Positive)
				Jun 02, 2026	[ICRA]A (Stable)	Jun 03, 2025	[ICRA]A (Stable)	Nov 11, 2024	[ICRA]A; Rating Watch with Negative Implications	Jan 10, 2024	[ICRA]A (Stable)
				Jul 02, 2026	[ICRA]A (Stable)	Jul 02, 2025	[ICRA]A (Stable)	Jan 14, 2025	[ICRA]A (Stable)		
				Aug 04, 2026	[ICRA]A (Stable)	Aug 04, 2025	[ICRA]A (Stable)	Feb 04, 2025	[ICRA]A (Stable)		
				Sep 02, 2026	[ICRA]A (Stable)	Sep 02, 2025	[ICRA]A (Stable)	Mar 04, 2025	[ICRA]A (Stable)		
				Sep 18, 2026	[ICRA]A (Stable)	Sep 30, 2025	[ICRA]A (Stable)	-	-		
						Nov 04, 2025	[ICRA]A (Stable)				
						Dec 02, 2025	[ICRA]A (Stable)				
						Jan 05, 2026	[ICRA]A (Stable)				
						Jan 13, 2026	[ICRA]A (Stable)				

	Current (FY2027)					Chronology of rating history for the past 3 years					
				FY2027		FY2026		FY2025		FY2024	
Instrument	**Type**	**Amount rated (Rs. crore)**	**October 16, 2026**	**Date**	**Rating**	**Date**	**Rating**	**Date**	**Rating**	**Date**	**Rating**
						Feb 03, 2026	[ICRA]A (Stable)				
						Mar 03, 2026	[ICRA]A (Stable)				
Term Loan*	Long Term	25.00	[ICRA]A (Stable)	Oct 06, 2026	[ICRA]A (Stable)						

*Source: Company; *Tier II*

Complexity level of the rated instruments

Instrument	Complexity indicator
Term Loan*	Simple
NCD	Simple
Long-term bank facilities – Fund based	Simple

**Tier II*

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click here

Annexure I: Instrument details

ISIN	Instrument name	Date of issuance/ Sanction	Coupon rate	Maturity date	Amount rated (Rs. crore)	Current rating and outlook	Financial sector regulator#
INE808K08079	**NCD**	Mar-31-2022	13.65%	Jun-30-2027	200.00	[ICRA]A (Stable)	SEBI
INE808K08061	**NCD**	Oct-25-2019	12.85%	Oct-25-2026	25.00	[ICRA]A (Stable)	SEBI
NA	**Long-term bank facilities – Fund based**	Dec-12-2017 to Aug-25-2026	8.20-11.25%	Aug-10-2026 to Sep-22-2029	5,953.07	[ICRA]A (Stable)	RBI
NA	**Term Loan***	Mar-30-2021	14.25%	Jun-04-2027	25.00	[ICRA]A (Stable)	RBI

*Source: Company; *Tier II*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of financial sector regulators other than SEBI

Please click here to view details of lender-wise facilities rated by ICRA

Annexure II: List of entities considered for consolidated analysis

Not applicable

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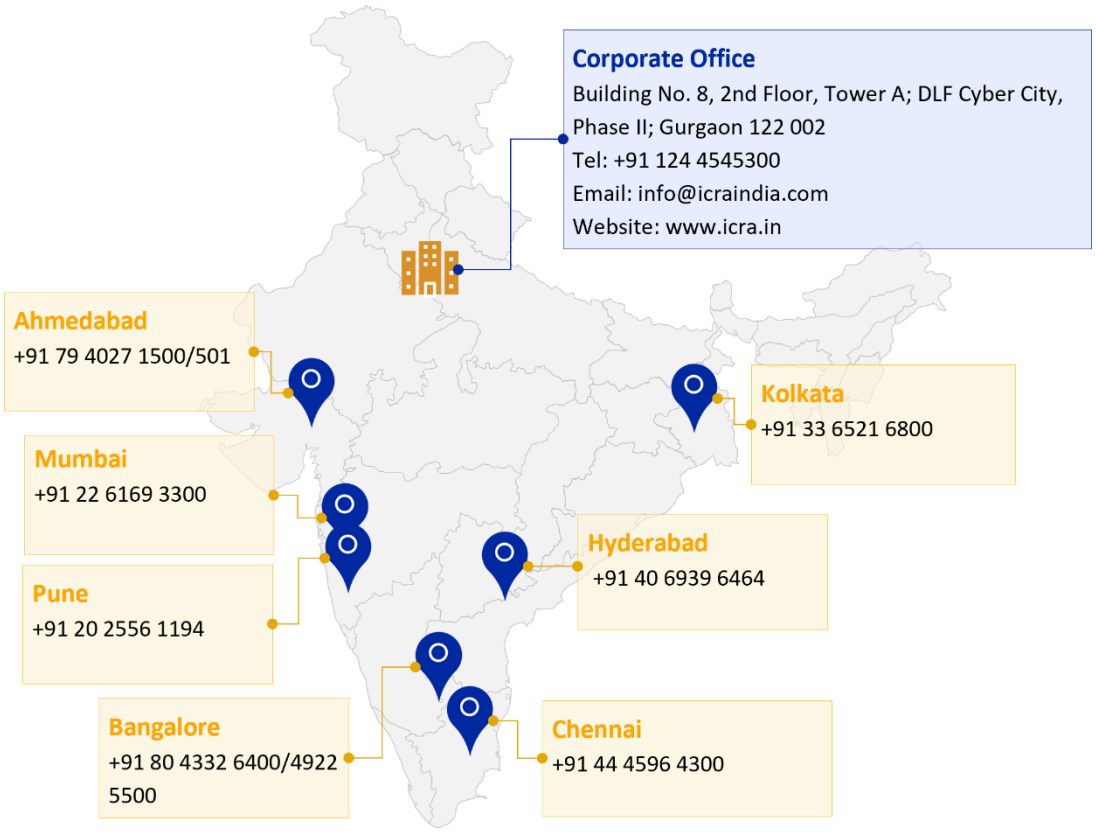
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